

Mutual Benefits Assurance Plc (NGX: MBENEFIT)

A recapitalised insurer still priced below its book value

Godwin Saviour Ogar | October 2026 | Share price ₦3.15 (early October 2026)

Market cap	Shares in issue	P/E (trailing)	Price / book	Dividend	52-week range	Free float
≈ ₦63.2bn	20.06bn	≈ 4.8x	≈ 0.87x	₦0.04 (1.3%)	₦3.00-5.95	22.66%

1. My investment view

I am bullish on Mutual Benefits Assurance because the market is still valuing it like a risky small-cap insurer, when it has just passed the biggest regulatory test the Nigerian insurance industry has faced in two decades. Under the Nigerian Insurance Industry Reform Act (NIIRA) 2025, insurers had until 31 July 2026 to meet much higher minimum capital. Both Mutual Benefits Assurance Plc and its life subsidiary, Mutual Benefits Life Assurance Ltd, are on the regulator's list of verified compliant companies. Yet at ₦3.15 the stock trades at under five times trailing earnings and below the book value of its shareholders' funds, and about 47% under its 52-week high.

My thesis rests on four points:

- **Regulation:** the recapitalisation risk that hangs over most Nigerian insurers is behind this one, while weaker competitors may be forced to merge or exit.
- **Balance sheet and earnings:** assets, equity and profit grew strongly in 2025, and the balance sheet kept growing in 2026.
- **People:** the senior team has spent most of its careers inside the group, which gives continuity through the reform period.
- **Valuation:** at about 0.87x book and under 5x trailing earnings, I am paid to wait, and I do not need heroic assumptions for the stock to re-rate.

I am also honest about what could go wrong. Profit fell 16% in the first half of 2026 because claims costs rose much faster than revenue. That is the number I watch most closely, and I cover it in the risk section.

2. The company

Mutual Benefits was founded in 1995 and has been listed on the Nigerian Exchange since 2002. The group writes general (non-life) insurance through the listed company, Mutual Benefits Assurance Plc, and life insurance through Mutual Benefits Life Assurance Ltd, with other interests in financial services, microfinance and real estate. It pays claims at scale: the group paid ₦13.6bn in claims across its general and life businesses in the first quarter of 2026 alone, which supports its reputation with policyholders and corporate clients.

3. The catalyst: NIIRA 2025 and recapitalisation

NIIRA 2025 was signed into law on 31 July 2025. It raised the minimum capital for insurers sharply and gave the industry twelve months to comply:

Category	Minimum capital under NIIRA 2025	Previous level
Life insurance	₦10bn	₦2bn
Non-life (general) insurance	₦15bn	₦3bn
Composite	₦25bn	₦5bn
Reinsurance	₦35bn	₦10bn

Why this matters to my thesis:

- **The test has been passed.** On 2 August 2026 NAICOM published its list of 43 insurers and reinsurers verified as compliant, with eight more submitting evidence for final verification. Mutual Benefits Assurance Plc is on the non-life list and Mutual Benefits Life Assurance Ltd is on the life list. Compliance is not just a claim by the company; the regulator confirmed it.

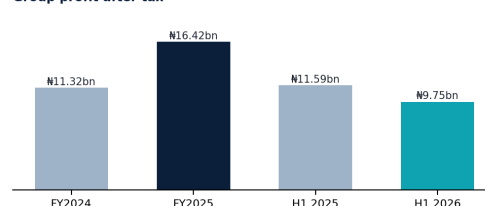
- **The structure already fits the law.** The Act bars one company from writing both life and non-life business. Mutual Benefits already runs them as two separately licensed companies, so there is no disruptive restructuring ahead.
- **Weaker rivals face pressure.** Before the deadline, commentators expected a dozen or more insurers to be absorbed through mergers or to leave the market. Fewer, better-capitalised competitors is good for the survivors' pricing and market share.
- **More capacity.** NAICOM itself says the higher capital lets insurers underwrite larger and more complex risks. Mutual Benefits said the same about its own position after the verification.

One caution: the Act also moves the industry to a risk-based capital framework, and NAICOM can ask an insurer to hold more than the fixed minimum if its risk profile warrants it. Meeting the floor in July 2026 does not mean the capital question is closed for ever.

4. Financial performance

₦ billion (Group)	FY2024	FY2025	H1 2025	H1 2026
Insurance revenue	66.92	80.05	41.20	42.25
Profit before tax	11.80	17.41	12.29	10.35
Profit after tax	11.32	16.42	11.59	9.75
Total assets	147.13	176.25	164.22	203.99
Total equity	54.79	69.73	–	86.02
Earnings per share (kobo)	54	81	56	41

Group profit after tax



- **2025 was a strong year.** Insurance revenue grew about 20%, profit after tax grew 45% and EPS rose from 54 to 81 kobo. Total equity grew about 27% and total assets about 20%.
- **The balance sheet kept expanding in 2026.** Total assets reached ₦203.99bn by June, and shareholders' funds rose 11% to ₦72.32bn. Group equity was supported by an ₦8bn capital injection into the life subsidiary.
- **The first half of 2026 was weaker.** Revenue grew only 3%, while insurance service expenses (mainly claims) jumped 39% to ₦40.87bn. The insurance service result fell 42% to ₦4.64bn, helped by a swing in reinsurance, and profit after tax fell 16% to ₦9.75bn. Operating cash flow was an outflow of ₦4.62bn, against an inflow of ₦2.77bn a year earlier.
- **Investments carry a lot of the profit.** In the first quarter, net investment income (₦4.54bn) was larger than the insurance service result (₦2.69bn). The group holds about ₦87bn in financial assets at amortised cost, so interest rates matter to earnings.

5. Management and governance

The company is led by Group Managing Director Olufemi Asenuga, an Associate of the Chartered Insurance Institute of Nigeria with a University of Lagos degree in insurance and an MBA. He joined the group in the late 1990s, was seconded in 2007 as the first Managing Director of the life subsidiary, and has run the company since December 2019. Biyi Ashiru-Mobolaji, who joined in 1998, leads the life company, which has just been recapitalised. The founder moved from executive roles to chairman of the board. What I like is continuity: the people executing the recapitalisation grew up in this business, and they met the regulator's deadline for both companies. The main governance question is key-person dependence, which I note under risks.

6. Valuation and scenarios

With 20.06bn shares and shareholders' funds of ₦72.32bn, book value is about ₦3.61 per share. The market cap of about ₦63.2bn is roughly 0.87x that book value. Trailing twelve-month EPS is about 66 kobo (81 for FY2025, less 56 for H1 2025, plus 41 for H1 2026), which puts the P/E at about 4.8x, or about 3.9x on FY2025 EPS alone. For an insurer that has just recapitalised and grown profit by 45%, that looks cheap to me. The table below is a scenario exercise, not a price target. It shows what the stock is worth if the market simply applies different multiples to the same book value.

Scenario	Price / book	Implied price	Change from ₦3.15
Bear: sentiment stays weak, 0.70x book	0.70x	₦2.52	-20%
Today: about 0.87x book	0.87x	₦3.15	+0%
Base: re-rates to book value, 1.00x	1.00x	₦3.61	+14%
Constructive: 1.25x book	1.25x	₦4.51	+43%
Bull: 1.50x book	1.50x	₦5.41	+72%

Assumes book value stays near ₦3.61 a share. Book value will change with future earnings, dividends and any new share issue. For context, the 52-week high of ₦5.95 equals about 1.65x current book value.

7. Risks and what I am watching

Risk	Why it matters	What I watch
Claims inflation	Service expenses rose 39% in H1 2026 against 3% revenue growth. If this continues, profit keeps falling.	Q3 2026 results: claims growth against revenue growth.
Earnings quality	The unaudited 2025 profit filed in January 2026 was about ₦20.9bn, but the audited figure was ₦16.4bn. That gap deserves explanation.	Auditor notes and consistency between quarterly and audited results.
Dependence on investment income	Investment income is bigger than underwriting profit, so falling interest rates would hit earnings.	Yields on its amortised-cost portfolio and Treasury rates.
Risk-based capital	NAICOM can demand more than the minimum. A new capital raise could dilute shareholders.	Any NAICOM circular or rights issue announcement.
Liquidity and volatility	Only 22.66% of shares are free float. The stock has ranged from ₦3.00 to ₦5.95 in a year.	Trading volume and position size.
Key-person risk	A small senior team drives the group.	Board and management changes.

8. Position and risk management

I hold this stock inside a friend's NGX portfolio, which I manage with his permission. My average entry price is ₦1.55, so the position has roughly doubled. It is about 17% of the portfolio, so a bad outcome would hurt but would not sink it, which suits the liquidity and earnings risks above. I would re-examine the thesis, and consider cutting, if any of these happen: (1) claims keep growing much faster than revenue for two more quarters; (2) the company announces a large dilutive capital raise; (3) the auditors raise concerns about reserves or the quality of earnings; or (4) NAICOM changes the capital requirements in a way that hurts this company.

9. Conclusion

Mutual Benefits has cleared the hardest regulatory hurdle in Nigerian insurance, grew profit by 45% in 2025 and trades below book value at under five times trailing earnings. The recent slowdown in profit is real and I am watching it, but I think the market is pricing in more bad news than the company's capital position justifies. If claims growth settles and profits recover, I expect the stock to move toward at least book value, with room above that as the industry consolidates around well-capitalised names. That is my view today, and I will update it as each quarter's results arrive.

Disclaimer: This note is my own analysis for learning and portfolio-review purposes. It is not investment advice and does not guarantee returns. Figures come from public company filings and news reports listed below and may be revised. Prices and ratios are approximate and change daily.

Sources: Mutual Benefits Assurance Plc FY2025 audited results and H1 2026 and Q1 2026 interim statements (NGX filings); NAICOM list of compliant insurers (2 to 3 August 2026) as reported by Nairametrics, TheCable, ThisDay and BusinessDay; NIIRA 2025 summaries by Dentons, Mondaq and law-firm commentaries; Ecofin Agency on industry consolidation; company board profiles at mutualng.com; market data from NGX-linked quote pages (price, market cap, dividend, 52-week range).